

DECODED EXPLAINED

9th August, 2026

As U.S. Senate Clears Bill, 100% Tariff Threat Looms

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T.C.A. Sharad Raghavan
NEW DELHI

The U.S. Senate has passed, with overwhelming majority, a Bill that could once again see massive tariffs of up to 100% being levied on India for its import of Russian oil.

The Senate voted 86-11 to pass the Lindsey O Graham Sanctioning Russia and Iran Act of 2026. The Bill will now need to pass in the House of Representatives before it becomes law. According to Senate documents, the bipartisan Act “is designed to deprive Vladimir Putin of the revenue financing Russia’s war against Ukraine” by imposing sanctions on Russia’s political leadership, finan-

Burning issue

U.S. Senate passes Bill aiming to cut off funding for Russia’s war in Ukraine

- Bill proposes **100% tariffs** on countries ‘heavily’ importing Russian oil and gas

- China and India are the **top two** importers of Russian crude oil

- Russian crude accounted for more than **50% of Indian imports** in June 2026

- The legislation **awaits approval** from the U.S. House of Representatives



cial institutions, energy sector, and sanctions-evasion networks.

Major criteria

As per the Bill, the U.S. would after 30 days of its passage impose a tariff of 100% on the import of goods originating in a

country that met one of two broad criteria. India runs the risk of qualifying under at least one of the criteria.

First, the tariffs would apply on a country that was among the five largest importers, by total volume, of crude oil or natu-

ral gas originating from Russia during the 12 months preceding the date of the enactment of the Act, and that then proceeds to import oil or gas from Russia after 30 days of the Act’s enactment. This is the criteria that could impact India.

China and India are the top two importers of Russian crude oil. Further, Russian crude accounted for more than 40% of Indian crude oil imports in May 2026 and more than 50% in June.

Scaling this back drastically within 30 days at a time when passage through the volatile Strait of Hormuz is still constrained would be very difficult for India.

The second criterion is if a country was among the top five nations “facilitating Russian oil sanctions evasion during the 12 months preceding the date of the enactment of the Act”. India runs a much lower risk of qualifying for tariffs under this criterion as Indian oil marketing companies have said that all their purchases have been made without violating sanctions.

If the 100% tariffs were levied, this would be the highest tariff level so far that India would have had to face during Donald Trump’s presidency. This would come on top of a 10% tariff that the U.S. currently imposes on imports from India.

As U.S. Senate Clears Bill, 100% Tariff Threat Looms

Countering America's Adversaries Through Sanctions Act (CAATSA) :

CAATSA is a law that came into effect in the US in 2017, and was meant to punish countries having deep engagements with Russia, North Korea, and Iran using economic sanctions.

Present Legislation of Sanctions :

Lindsey O. Graham Sanctioning Russia and Iran Act of 2026

Govt. Examining if Meta 'Crossing Into Role of a Publisher'

Govt. examining if Meta 'crossing into role of a publisher'

Press Trust of India
NEW DELHI

The Centre's meetings with Meta have brought into focus a key question - whether the social media giant's recommendation systems and paid content promotion fit in its status as an intermediary, government sources said adding the key issue is whether the company complies with the provisions under the IT Act or crosses into the role of a publisher by deciding "what content is shown to whom".

Sources further said that the issue centres on whether a platform that actively decides what users see, can continue to claim intermediary status under the Information Technology Act. The issue assumes significance because Section 79 of the IT Act grants intermediaries a "safe harbour" from liability for third-party content, subject to compliance with the provisions of the law and due diligence requirements.

Sources said if Meta's recommendation systems determine "what is shown to whom" and also "promote content for pay-



The government has also asked Meta to take measure to address deepfakes

ment", it raises the question of whether such functions are consistent with the legal definition of an intermediary.

According to the sources, if a platform determines what content gets shown to users, it amounts to publishing, and platforms would then have to take responsibility for their actions.

The issue assumes significance as intermediaries enjoy certain legal protections under the Act, subject to compliance with prescribed conditions.

Sources said the government has also asked Meta to take measures to address deepfakes following multiple rounds of discussions held over the past few days.

Govt. Examining if Meta 'Crossing Into Role of a Publisher'

- **Section 79 of the Information Technology Act, 2000**

- Provides 'safe harbour' protection to intermediaries from liability for content posted by users, provided they follow due diligence requirements and do not initiate, select, or modify the transmission

- **Intermediary vs Publisher**

- An 'intermediary' merely hosts or transmits third-party content without editorial control; a 'publisher' exercises editorial control over what content is disseminated and to whom, and is held to greater legal responsibility for that content

- **Algorithmic Content Recommendation and Regulatory Scrutiny**

- Globally, regulators are increasingly scrutinising whether platforms' algorithmic recommendation systems should still qualify for intermediary liability protections, given their active role in content distribution, a debate playing out in the EU's Digital Services Act and now in India

- **IT Rules and Due Diligence Requirements for Intermediaries**

- The IT (Intermediary Guidelines and Digital Media Ethics Code) Rules, 2021 impose specific due diligence obligations on intermediaries, including grievance redressal mechanisms and content takedown timelines, as conditions for retaining safe harbour protection

Why Are Users Worried About UPI Charges?

Why are users worried about UPI charges?

Who pays for UPI transactions? Will this change? What does a new Bill say?

T.C.A. Sharad Raghavan

The story so far:
So far, payments made on the Unified Payments Interface (UPI) platform have been free. However, the Taxation and Other Laws (Amendment) Bill, 2024 seeks to change this, by empowering the government to allow banks and UPI companies to charge merchants for certain UPI payments. There is fear that these merchants will, in turn, pass these charges on to customers.

What is the MDR charge?
A Merchant Discount Rate (MDR) is a fee that merchants have to pay banks and payment processors for the use of their networks. A typical MDR charge has four components – an interchange fee, processing charge, a network fee, and tax. The interchange fee is paid to the bank that has issued the credit or debit card. The processing charge is paid to the payment processor or gateway such as RazorPay, PayU, Clicksmart, and BillDesk. The network fee is paid to payment networks such as Visa, Mastercard, and the National Payments Corporation of India. The tax on these services – the Goods and Services Tax – is paid to the government.
Since 2020, the government has mandated that transactions on UPI and RuPay debit cards will not attract any MDR charges. However, other card transactions do. The MDR varies by payment method: it is 0.45-0.5% for non-RuPay debit cards, 1.5%-2% for domestic credit cards, 1% for net banking, and 2%-4.5% for international credit cards.

Who currently pays the cost of UPI transactions?
In a recent press conference, Reserve Bank of India Governor Sanjay Malhotra said "someone will have to pay the cost" of UPI transactions. At the moment, some of this cost is being absorbed by banks and payment processors, and some is being borne by taxpayers.
In December 2024, the government launched the 'Merchant Subsidy for Payment of Goods or Rupee UPI Transactions' (MSP for Rupee UPI Transactions) which provides a subsidy to banks for UPI transactions of less than ₹2,000 in value done at small merchants. This is then shared among other stakeholders.
According to the government, it paid ₹2,309 crore in this subsidy in 2023-24, which grew to ₹4,620 crore by 2025-24. Budget documents show that this figure has subsequently been falling, with the government budgeting ₹2,000 crore for the current financial year 2026-27.
As for the MDR on other forms of electronic payments, the merchants are currently paying these charges. Some pass these charges on to customers, while others absorb them.

What is the government's proposal?
So far, the government has not made any official announcement regarding its plans to allow MDR charges on UPI. The only official move is in Parliament as part of a new law that allows the government to allow such charges to be levied.
Currently, the Payment and Settlement Systems Act (PSS) requires banks "not to impose a charge for using electronic modes of payment" if they are conducted using methods listed in Section 20(1) of the Income Tax Act, 1961. Section 20(1) lists debit cards powered by RuPay and UPI and Rupee UPI transactions, including those done by QR code. In simple terms, a combination of these two acts has so far ensured that UPI and RuPay debit card transactions are free from MDR charges.
This is set to change. The Taxation and Other Laws (Amendment) Bill, 2024, passed by the Lok Sabha on August 6, modifies the provision in the Payment and Settlement Systems Act to say that the government can levy the kind of transactions that attract bank charges.
Apart from this, sources in the government say that a possible MDR charge could be levied on large merchants – with an annual turnover of more than ₹100 crore – and on transactions that exceed ₹2,000 in value.
According to them, this would exclude about 95% of current UPI transactions from the charge. They also say that the government is considering an MDR charge on UPI transactions of 0.25-0.4% of the transaction value.
Prime Minister Narendra Modi said that the final rate of the MDR has not yet been decided. She added that such a charge would "support banks and fintech to invest more on infrastructure, innovation, and security" and "all users of UPI will reap the benefits of this investment".

What are the concerns?
The main concern among users is that UPI will no longer be free. It is, however, unlikely that the government would impose a charge on most UPI transactions. Digital and financial inclusion is an important pillar of its ongoing reform programme. One of the most attractive aspects of UPI is that it has been free. The government will likely not risk pushing users back to cash by making UPI transactions more expensive.

Why Are Users Worried About UPI Charges?

● What Is the MDR Charge

- A Merchant Discount Rate is a fee merchants pay banks and payment processors for the use of their networks, typically comprising an interchange fee, processing charges, a network fee, and tax
- Since 2020, the government has mandated that transactions on UPI and RuPay debit cards will not attract any MDR charges; however, other card transactions do, ranging from 0.4-0.9% for non-RuPay debit cards to 3-4.5% for international credit cards

● Who Currently Pays the Cost of UPI Transactions

- The government's incentive scheme subsidising banks for low-value UPI transactions paid ₹1,389 crore in 2021-22, growing to ₹3,631 crore by 2023-24, though this figure has since been falling, with ₹2,000 crore budgeted for 2026-27

● The Government's Proposal

- The Taxation and Other Laws (Amendment) Bill, 2026, passed by the Lok Sabha on August 6, modifies the Payment and Settlement Systems Act to let the government notify the kinds of transactions that can attract an MDR charge
- Sources say a possible MDR charge could be levied on large merchants, with annual turnover above ₹1-1.5 crore, on transactions exceeding ₹2,000 in value, excluding about 95% of current UPI transactions, at a possible rate of 0.25-0.4% of transaction value

● The Concerns

- The main concern among users is that UPI will no longer be free; it is, however, unlikely the government would impose a charge on most UPI transactions, since digital and financial inclusion remains a key reform priority, and the government will likely not risk pushing users back to cash

How Does the SC Handbook Rethink Gender Sensitivity?

How does the SC handbook rethink gender sensitivity?

How does the 2026 handbook differ from the 2023 version on combating gender stereotypes? What does it say about the use of gender-sensitive language? In what ways does it go beyond language to talk about courtroom practices that judges should adopt proactively?

Aaratrika Bhaumik

The story so far:

A Supreme Court report published on August 3 makes recommendations aimed at enhancing gender sensitivity in how judges write judgments and conduct proceedings in cases involving sexual offences and vulnerable persons.

Who prepared the new report?

Titled 'Judgments and Gender: Sensitivity and Compassion in Writing Judgments', the report was drafted by an expert committee headed by former Supreme Court judge and Director of the National Judicial Academy (NJA) in Bhopal, Justice Aniruddha Bose. It marks a shift from the court's 2023 'Handbook on Combating Gender Stereotypes', which focused primarily on helping judges identify and avoid gender stereotypes and patriarchal language.

The new report, which will replace the earlier handbook, broadens that approach by recommending practical reforms spanning courtroom management, victim protection, judicial reasoning, and trauma-informed adjudication. Before formulating its recommendations, it examined 125 trial court judgments from across the country with the assistance of State Judicial Academies.

What prompted this intervention?

The need for a new handbook arose from the

The 2026 report focuses on problematic expressions that frequently appear in trial court judgments, particularly in sexual offence cases

Supreme Court's February 10, 2026, judgment setting aside an Allahabad High Court ruling that had held that allegations of grabbing a 14-year-old girl's breasts, dragging her towards a culvert, and breaking the string of her lower garment amounted only to "preparation" to commit rape, rather than an "attempt" to rape. The apex court had taken cognisance of the ruling on its own after the High Court's distinction between preparation and attempt drew criticism for its apparent insensitivity.

During the proceedings, questions were also raised about the effectiveness of the Supreme Court's 2023 handbook, issued during the tenure of former Chief Justice of India (CJI) D.Y. Chandrachud, in preventing such flawed judicial reasoning. CJI Surya Kant remarked that the handbook was "too Harvard-oriented", suggesting that it was overly theoretical and did not adequately reflect the realities of the Indian judicial system. Justice Kant instead called for practical training. The court consequently directed the NJA in Bhopal to constitute a committee of domain experts, academics, and lawyers to formulate fresh guidelines geared towards the practical training of judges.

What does it say about gender-sensitive judicial language?

The new report cautions that judicial observations rooted in stereotypes can deter survivors from reporting offences, reinforce prejudices, and undermine confidence in the justice system. While both the 2023 handbook and the new report contain glossaries of terms that judges should avoid, they differ in focus.

The 2023 handbook largely sought to replace stereotypical, colloquial, or outdated expressions with neutral and legally appropriate terminology. For instance, it recommended "street sexual harassment" instead of "eve teasing", "homemaker" instead of "housewife", and "woman who has engaged in sexual relations outside of marriage" instead of "adulteress". It also challenged broader assumptions about women, including the stereotype that they are inherently emotional.

The 2026 report, on the other hand, focuses on problematic expressions that frequently appear in trial court judgments, particularly in

sexual offence cases. It recommends replacing "prosecutrix" with "victim", "survivor" or "complainant", noting that the former is essentially a procedural label, while the alternatives better acknowledge the lived realities of those approaching the justice system.

The report also seeks to move judicial writing away from language that views sexual violence through the prism of morality, chastity, or honour. Expressions suggesting that rape "destroyed the soul of a helpless woman", "ruined her life", or caused her to "lose her chastity" should be avoided. Instead, judges are encouraged to focus on the legal injury and its consequences – for instance, by stating that the survivor's bodily autonomy was violated and that the offence caused severe trauma.

The report further urges courts to use respectful and contemporary terminology when referring to people of diverse sexual orientations and gender identities, and recommends the globally recognised framework of Sexual Orientation, Gender Identity, Expression and Sex Characteristics (SOGIESC).

What changes does it recommend in courtroom practices?

Beyond judicial language, the report sets out a series of "compassionate court practices" that judges should adopt proactively. It reiterates that trials involving rape and other sexual offences should ordinarily be held in camera (in private, closed-door proceedings), as mandated under the Bharatiya Nagarik Suraksha Sanhita, 2023. It also calls for strict protection of survivors' identities, including through the use of initials or pseudonyms in court proceedings and publications.

Describing witnesses as "guests" who assist the court in arriving at the truth, the report cautions against repeated adjournments, prolonged waiting, and poor treatment. Judges are also urged to enforce provisions of the Bharatiya Sakshya Adhiniyam that prohibit indecent, scandalous, or offensive questions during cross-examination. In particular, the report reiterates that a survivor's previous sexual history is immaterial in a rape trial.

A trauma-informed approach is another recommendation. The report cautions judges against drawing adverse conclusions solely from delayed reporting, absence of physical injuries, inconsistencies in testimony, or a survivor's demeanour, noting that people respond to trauma differently. It also encourages pre-trial counselling to reduce survivors' anxiety.



The Supreme Court's 2023 handbook faced questions about its effectiveness.

Thank You